

of the net current asset value. Graham found that companies satisfying the criteria—sometimes described as *net nets* because the market capitalization was *net* of the net current asset value—were often priced at significant discounts to estimates of the value that stockholders could receive in an actual sale or liquidation of the entire company.

Graham's insistence on a purchase price no more than two-thirds of the net current asset value illustrates an important element of Grahamite value investment: the margin of safety. Graham wrote in *The Intelligent Investor*:³

In the old legend the wise men finally boiled down the history of mortal affairs into the single phrase, "This too will pass." Confronted with a like challenge to distill the secret of sound investment into three words, we venture the motto, MARGIN OF SAFETY. This is the thread that rounds through all the preceding discussion of investment policy—often explicitly, sometimes in a less direct fashion.

The *margin of safety* is the market price discount from our estimate of intrinsic value. Graham's insistence on a purchase price no more than two-thirds of net current asset value means, for example, that the margin of safety for the archetypal net-net stock at acquisition is no less than one-third of the purchase price, and our estimate of net current asset value can fall by one-third before rendering a permanent impairment of capital. The margin of safety therefore theoretically provides protection from significant permanent loss, even in liquidation scenarios where the business has little or no ongoing intrinsic value. The margin of safety also provides the opportunity for an advance as the discount between a stock's net current asset value and its market price closes. The greater the market price discount from intrinsic value, the greater the margin of safety, and the greater the possibility for investment return. If the second point sounds like a repetition of the first, it is because it is essentially the same idea considered from another perspective. The greater the margin of safety—calculated as the discount from intrinsic value—the lesser the risk of permanent impairment of capital, and the greater the possibility for return. This dual principle—lower risk equates to greater return—is axiomatic to value investment, but an impossibility under orthodox finance theory.

Why do companies trade at a discount to liquidation value? In the years following the 1929 crash a large number of companies continued to trade well below liquidation value, prompting Graham to write a series of articles for *Forbes* magazine in 1932—two years before the publication of *Security Analysis*—considering the phenomenon. Ordinarily a rare occurrence, Graham discussed a study he had commissioned in 1932